

*is observed in terms of purchasing power, which is the real, tangible goods that money can buy. When inflation goes up, there is a decline in the purchasing power of money. For example, if the inflation rate is 2% annually, then theoretically a 100 pack of gum will cost 102 in a year. After inflation, your rupee can't buy the same goods it could beforehand.*

*There are several variations on inflation:*

*Deflation is when the general level of prices is falling. This is the opposite of inflation.*

*Hyperinflation is unusually rapid inflation. In extreme cases, this can lead to the breakdown of a nation's monetary system. One of the most notable examples of hyperinflation occurred in Germany in 1923, when prices rose 2,500% in one month! Stagflation is the combination of high unemployment and economic stagnation with inflation. This happened in industrialized countries during the 1970s, when a bad economy was combined with OPEC raising oil prices.*

*Top Companies in this index*

*1) State Bank of India*